LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What is Letter of Credit (LC) under Non-Fund Based Facilities ?

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Executive Summary & Institutional Preface

In corporate trade finance and institutional credit architecture, a **Letter of Credit (LC)** issued under **Non-Fund Based (NFB) Credit Facilities** serves as the definitive financial catalyst for domestic and cross-border commercial transactions. As global supply chains expand and domestic commercial networks scale, the fundamental challenge facing corporate CFOs, commercial buyers, and industrial suppliers is the mitigation of bilateral credit risk without tying up expensive corporate liquidity in cash prepayments. A Letter of Credit resolves this structural friction by substituting the commercial credit risk of an corporate buyer with the prime, credit-enhanced financial commitment of a regulated banking institution.

Under a Non-Fund Based Letter of Credit facility, the issuing bank does not disburse immediate cash funds at the time of credit issuance. Instead, the bank extends an irrevocable, conditional financial undertaking to the seller (beneficiary), guaranteeing that payment will be executed upon the presentation of strictly compliant shipping, commercial, and title documents. This structural mechanism converts a high-risk commercial transaction into a bank-intermediated credit instrument governed by international statutory frameworks, primarily the **Uniform Customs and Practice for Documentary Credits (UCP 600)** promulgated by the International Chamber of Commerce (ICC), alongside the **Foreign Exchange Management Act (FEMA) 1999**, **Reserve Bank of India (RBI) Master Directions on Import of Goods and Services**, and **FEDAI (Foreign Exchange Dealers' Association of India) Rules**.

This masterclass manual provides an exhaustive, authoritative analysis of Letter of Credit structures under non-fund-based bank lines in India. Written for corporate finance professionals, credit underwriters, trade finance consultants, and treasury directors, this white paper covers the legal foundations, structural taxonomies, comparative capital architectures, dual-track credit underwriting frameworks, security documentation, statutory ROC/CERSAI compliance, default crystallization mechanics under RBI IRACP norms, mathematical tax-shield optimizations, a real-world ₹100 Crore industrial case study, and a professional certification examination.

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Module 1: Product Overview & Legal Foundations of Documentary Credits

1.1 Defining Non-Fund Based (NFB) Credit Facilities

Commercial banking credit facilities in India are broadly segregated into two operational categories: **Fund-Based Facilities** and **Non-Fund Based (NFB) Facilities**.

- **Fund-Based Credit Facilities** (e.g., Rupee Term Loans, Cash Credit lines, Working Capital Demand Loans, Overdrafts) involve the direct outlay and physical disbursement of bank capital into the borrower's operative bank account upon sanction. The lending institution incurs an immediate cash outlay and earns interest income calculated on the disbursed principal amount.
- **Non-Fund Based Credit Facilities** (e.g., Letters of Credit, Financial Bank Guarantees, Performance Guarantees, Deferred Payment Guarantees), by contrast, do not involve an immediate outlay of bank funds upon issuance. The issuing bank provides an irrevocable contingent commitment on behalf of its corporate client. The bank's financial exposure remains contingent throughout the validity period of the instrument and converts into an actual fund-based liability only if the corporate applicant defaults on its payment obligations or if a compliant demand/document presentation is executed.

For corporate borrowers, Non-Fund Based LC facilities represent an exceptionally efficient trade tool. They enable companies to procure raw materials, capital machinery, and industrial components on extended credit terms without incurring the high interest costs associated with direct fund-based borrowings during the credit opening phase.

1.2 The Core Definition & Legal Character of a Letter of Credit

A **Letter of Credit (LC)**—also referred to as a **Documentary Credit**—is an irrevocable undertaking issued by a bank (the Issuing Bank) at the request and on the instructions of a corporate buyer (the Applicant), obligating the bank to pay a specified sum of money to a seller (the Beneficiary) within a defined timeframe, provided the seller presents shipping, commercial, and statutory documents that strictly comply with the terms and conditions set forth in the credit instrument.

The legal architecture of documentary credits is anchored in four foundational legal doctrines recognized across international trade law and Indian jurisprudence:

1. The Principle of Autonomy / Independence of Contract

The Letter of Credit is legally independent of, and completely severed from, the underlying commercial purchase contract between the buyer and the seller. Under **UCP 600 Article 4(a)**, an LC is by its nature a separate transaction from the sale or other contract on which it may be

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based. Issuing banks are in no way concerned with or bound by such commercial contracts, even if any reference whatsoever to such contracts is included in the credit instrument. The bank's obligation to pay depends solely on whether the presented documents match the LC terms, regardless of whether the buyer claims the delivered goods are defective, delayed, or non-conforming.

2. The Principle of Strict Compliance

Under **UCP 600 Article 14**, the issuing bank, confirming bank (if any), and nominated bank must examine a presentation to determine, on the basis of the documents alone, whether or not the documents appear on their face to constitute a compliant presentation. Under the doctrine of strict compliance, any discrepancy between the document descriptions and the LC requirements—no matter how minor or typographical—entitles the bank to reject the presentation and withhold payment.

3. The Doctrine of Substantial Compliance & The Fraud Exception

While courts strictly uphold the independence of LCs, Indian judicial jurisprudence—established by the Supreme Court of India in landmark decisions such as *Svenska Handelsbanken v. Indian Charge Chrome Ltd.* [(1994) 1 SCC 502] and *Himadri Chemicals Industries Ltd. v. Coal Tar Refining Co.* [(2007) 8 SCC 110]—recognizes a narrow exception to the independence principle: **Egregious Fraud**. Indian courts will grant an interim injunction restraining an issuing bank from honoring or paying under an LC only if the applicant proves: * Fraud of an egregious nature committed by the beneficiary with the knowledge of the bank, going to the root of the credit transaction; and * Irretrievable injustice or special equities that would cause irreparable injury to the applicant if payment were permitted.

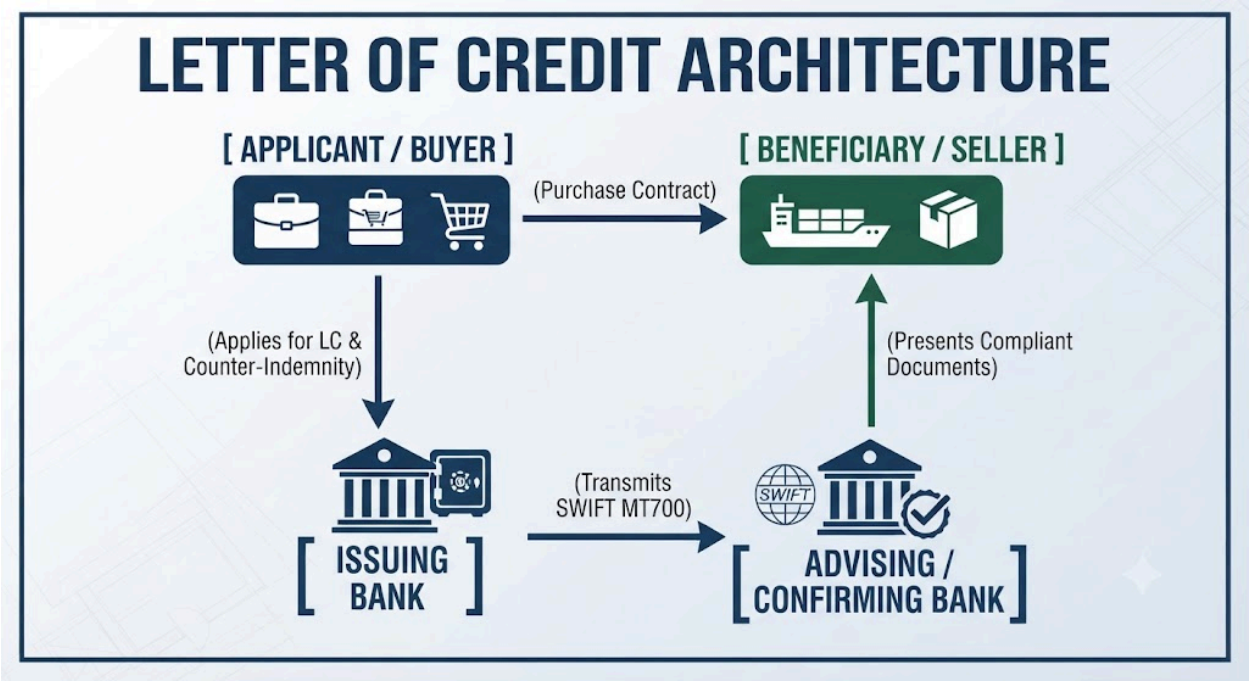
4. Privity of Contract Between Banks

The legal relationships created under an LC established a chain of independent privities: * Applicant ↔ Issuing Bank (Governed by the Master LC Line Agreement & Counter-Indemnity); * Issuing Bank ↔ Confirming / Advising Bank (Governed by Inter-bank SWIFT MT700 Covenants & UCP 600); * Issuing / Confirming Bank ↔ Beneficiary (Governed strictly by the LC Instrument and UCP 600).

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1.3 Tripartite & Quadripartite Credit Architecture

A Letter of Credit transaction involves four key institutional participants:



1. **The Applicant (Buyer / Importer):** The corporate entity requesting the issuing bank to open the LC in favor of the seller. The applicant pledges counter-security, pays opening commissions, and assumes the ultimate obligation to reimburse the bank upon document retirement.
2. **The Issuing Bank (Buyer's Bank):** The regulated financial institution that approves the non-fund based LC limit, issues the credit instrument via SWIFT, and assumes the primary, irrevocable legal liability to pay the beneficiary upon compliant document presentation.
3. **The Advising / Confirming Bank (Seller's Bank):** The bank operating in the seller's jurisdiction. The *Advising Bank* authenticates the SWIFT message and forwards the LC to the seller without financial liability. If requested, a *Confirming Bank* adds its own firm guarantee to the credit, absorbing the issuing bank's sovereign and credit default risk.
4. **The Beneficiary (Seller / Exporter):** The commercial entity in whose favor the credit is established, entitled to receive payment or acceptance upon shipping the goods and presenting compliant documents within the specified validity period.

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1.4 Regulatory Framework Governing LCs in India

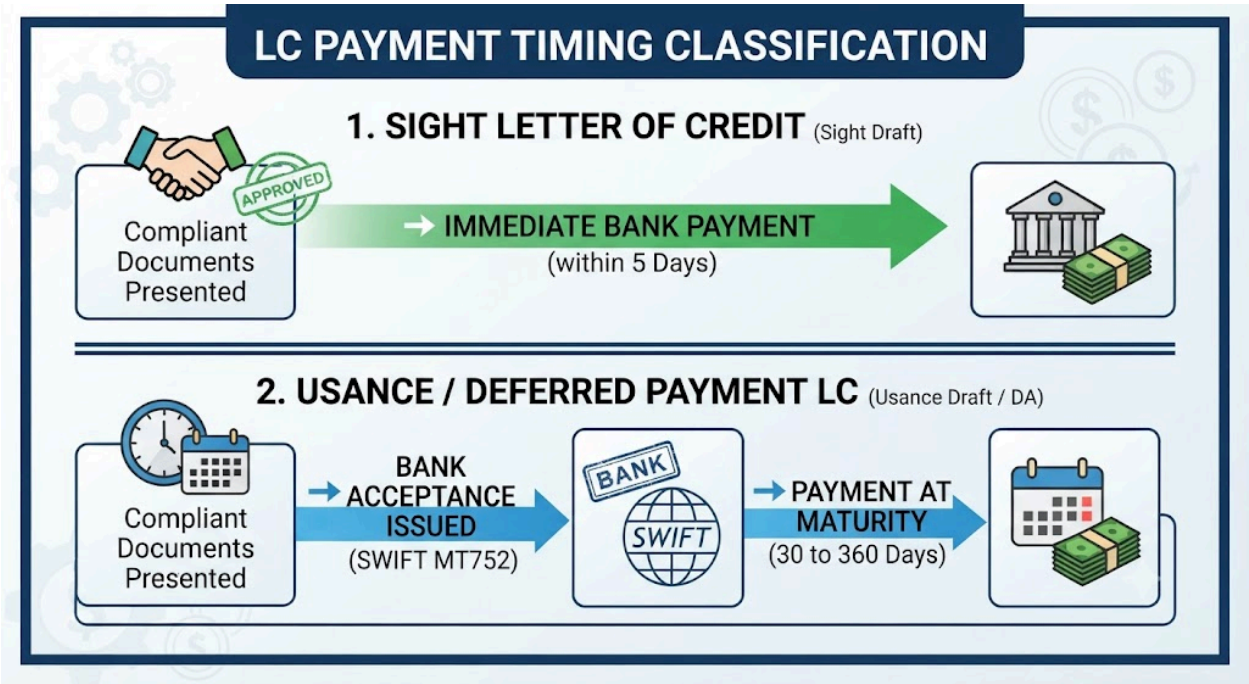
Domestic and international LCs issued by Indian banks operate under a strict regulatory framework:

- **ICC UCP 600 & ISBP 745:** The ICC's Uniform Customs and Practice for Documentary Credits (2007 Revision, Publication No. 600) provides the standardized global rules governing credit terms, document examination standards, discrepancy notices, and bank liabilities. International Standard Banking Practice (ISBP 745) complements UCP 600 by detailing exact document examination criteria.
- **RBI Master Directions on Import of Goods & Services:** Regulates cross-border import LCs, specifying maximum credit tenures (up to 1 year for raw materials/consumables; up to 3 years for capital goods under Trade Credit guidelines), mandatory Import Data Processing and Monitoring System (IDPMS) reporting, and trade credit interest rate caps (ARAC/SOFR + 200 bps).
- **Foreign Exchange Management Act (FEMA) 1999:** Mandates statutory compliance for cross-border currency remittances, import declarations (BOE - Bill of Entry), and trade credit limits.
- **FEDAI Rules:** Governs inter-bank foreign exchange handling, document handling charges, interest rates on overdue import bills, and crystallization timelines for dishonored import LCs in India.

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Module 2: How the Product Structure Works & Taxonomy of LC Variations

2.1 Structural Classification by Payment Timing



1. Sight Letter of Credit (Sight Draft)

Under a **Sight LC**, the issuing bank is obligated to make immediate payment upon receipt and verification of compliant shipping documents. Under UCP 600 Article 14(b), the issuing bank has a maximum of five banking days following the day of presentation to determine if the documents are compliant. Upon confirming compliance, payment is executed immediately to the beneficiary.

2. Usance / Deferred Payment Letter of Credit (Usance Draft / DA)

Under a **Usance LC** (also known as a **Deferred Payment LC** or **Document Against Acceptance - DA LC**), payment is not executed immediately upon document presentation. Instead, the issuing bank accepts the usance draft and commits to pay on a fixed or determinable future maturity date (e.g., 30, 60, 90, 180, or 360 days from the Bill of Lading date). This provides the buyer with a built-in credit period to sell the imported raw materials or process the goods into finished inventory before retiring the LC bill.

2.2 Structural Classification by Commitment & Security

- **Irrevocable vs. Revocable LCs:** Under UCP 600 Article 3, all Letters of Credit are inherently **irrevocable**, even if not explicitly stated. An irrevocable LC cannot be

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amended, modified, or canceled without the express agreement of the issuing bank, the confirming bank (if any), and the beneficiary. Revocable LCs are obsolete under modern trade finance rules.

- **Unconfirmed vs. Confirmed LCs:** In an **Unconfirmed LC**, the issuing bank is the sole institutional guarantor. In a **Confirmed LC**, a second bank (usually a prime international bank in the exporter's country) adds its firm confirmation to the credit at the issuing bank's request. This provides the exporter with a dual-bank guarantee, completely insulating the transaction from country risk, currency transfer restrictions, or issuing bank insolvency.

2.3 Specialized LC Variations in Corporate Credit

1. Revolving Letters of Credit

Designed for corporate buyers engaged in continuous, high-frequency raw material procurement from the same supplier. Instead of issuing separate LCs for every shipment, a single **Revolving LC** is established. The credit amount automatically restores (revolves) as shipments are completed and bills are paid. * *Automatic vs. Non-Automatic Revolving:* Automatic restoration occurs without issuing bank intervention; non-automatic restoration requires bank confirmation before each cycle. * *Cumulative vs. Non-Cumulative Revolving:* Under cumulative revolving LCs, any unutilized balance from one period rolls over into subsequent periods. Non-cumulative LCs forfeit unutilized balances at the end of each period.

2. Transferable Letters of Credit

Governed strictly by **UCP 600 Article 38**, a **Transferable LC** permits the primary beneficiary (typically an international trading house or middleman) to request the nominated bank to make the credit available, in whole or in part, to one or more second beneficiaries (the actual manufacturers or sub-suppliers). This allows the primary beneficiary to leverage the buyer's credit strength to finance its supply chain without utilizing its own direct bank credit lines.

3. Back-to-Back Letters of Credit

Used when an intermediary receives a non-transferable LC from an end-buyer. The intermediary approaches its bank to open a second, entirely separate LC (the **Back-to-Back LC**) in favor of the ultimate sub-supplier, using the primary incoming LC as collateral security. Unlike a transferable LC, a back-to-back LC creates two distinct, independent legal instruments.

4. Red Clause & Green Clause Letters of Credit

- **Red Clause LC:** Contains a special clause (historically typed in red ink) authorizing the advising/nominated bank to grant an unsecured pre-shipment advance to the seller

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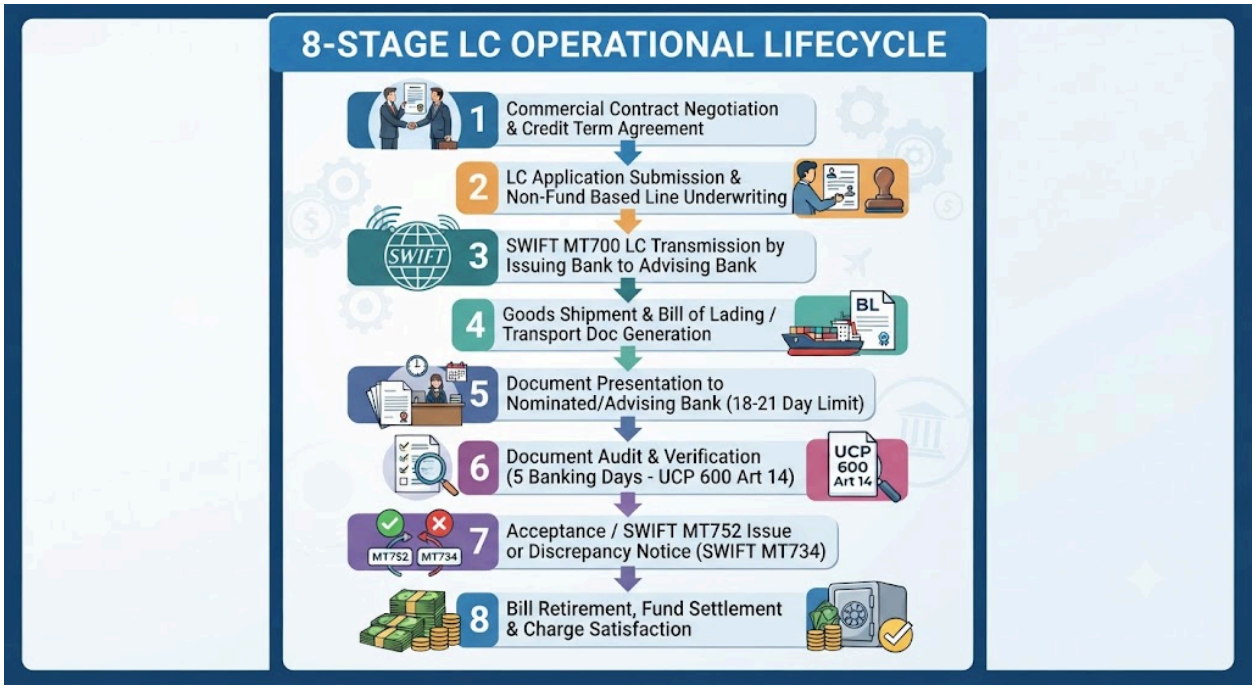
prior to document presentation, enabling the seller to purchase raw materials and manufacture the goods. The issuing bank assumes full financial liability for the advance.

- **Green Clause LC:** An extension of the Red Clause LC, providing pre-shipment advances covering both raw material procurement and temporary pre-shipment warehousing in the port of origin.

5. Standby Letters of Credit (SBLC)

Governed either by **ISP98 (International Standby Practices 1998)** or **UCP 600**, an **SBLC** is a secondary financial guarantee instrument widely used in international corporate trade and project finance. Unlike a commercial documentary LC (which is intended to be drawn upon as the primary payment mechanism), an SBLC is designed to be drawn upon **only in the event of default**. It functions structurally like an international Financial Bank Guarantee.

2.4 The 8-Stage Operational Lifecycle Workflow of an LC



1. **Stage 1 - Commercial Contract Negotiation:** Buyer and seller sign a commercial sales contract agreeing to Letter of Credit terms, specifying the credit type, usance period, required transport documents, shipping deadlines, and governing rules (UCP 600).
2. **Stage 2 - LC Application & Credit Line Assessment:** The buyer submits a formal LC Application Form to its issuing bank, backed by an approved Non-Fund Based credit limit, board resolutions, and counter-indemnity documentation.

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3. **Stage 3 - SWIFT MT700 Transmission:** The issuing bank verifies credit availability and transmits an encrypted **SWIFT MT700** message (Issue of a Documentary Credit) to the advising bank in the seller's country.
4. **Stage 4 - Shipment & Document Compilation:** Upon receiving the advised LC, the seller manufactures and ships the goods, obtaining the Bill of Lading (BL), Commercial Invoice, Packing List, Certificate of Origin, and Insurance Policy.
5. **Stage 5 - Document Presentation:** The seller presents the complete document package to the nominated/advising bank within the presentation timeframe (typically within 21 days from the shipping date under UCP 600 Article 14(c), but prior to LC expiry).
6. **Stage 6 - Document Examination (The 5-Day Audit Rule):** The advising/issuing bank conducts a rigorous audit of the presented documents under UCP 600 Article 14 rules, completing the examination within five banking days following the day of presentation.
7. **Stage 7 - Acceptance / SWIFT MT752 or Discrepancy Notice (SWIFT MT734):**
    - *If Compliant:* The issuing bank transmits a **SWIFT MT752** confirming document acceptance and binding payment commitment at sight or usance maturity.
    - *If Discrepant:* The issuing bank issues a **SWIFT MT734** discrepancy notice within five banking days, detailing every discrepancy and holding documents at the presenter's disposal.
8. **Stage 8 - Bill Retirement & Goods Release:** Upon usance maturity or sight presentation, the buyer pays the bill amount (or utilizes a working capital loan line), retires the documents, takes delivery of the goods from the carrier via the endorsed Bill of Lading, and the bank releases the hypothecation charge.

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Module 3: Comparative Capital Architecture Matrix

To evaluate how Letters of Credit under Non-Fund Based facilities fit within a corporate borrower's capital structure, the following matrix compares Usance LCs against alternative trade and credit instruments across ten key parameters:

Parameter	Irrevocable Usance LC (DA 90/180 Days)	Sight LC (DP - Document Against Payment)	Financial Bank Guarantee (FBG)	Standby LC (SBLC - ISP98)	Trade Bill Discounting (Clean / Non-LC)	Direct Cash Advance / Wire Transfer
Primary Commercial Purpose	Raw material procurement on deferred credit terms	Import/ purchase of goods with immediate bank payment	Financial security for contractual or payment default	Secondary financial guarantee for trade obligations	Immediate cash discounting of trade receivables	Prepayment for high-demand or custom goods
Fund vs Non-Fund Nature	Pure Non-Fund Based (converts to fund if un-retired)	Pure Non-Fund Based (immediate fund settlement)	Pure Non-Fund Based (converts to fund upon invocation)	Pure Non-Fund Based (converts to fund upon default)	Fund-Based Facility (immediate loan disbursement)	Direct Cash Outlay (100% equity/working capital)
Credit Conversion Factor (CCF)	100% CCF (Direct Credit Substitute)	100% CCF (Direct Credit Substitute)	100% CCF (Direct Credit Substitute)	100% CCF (Direct Credit Substitute)	100% Fund Exposure (Direct Credit Risk)	N/A (Zero credit conversion - cash spent)
Cash Margin	10% - 25%	10% - 20%	10% - 25%	15% - 30%	10% - 20%	N/A (100%

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Parameter	Irrevocable Usance LC (DA 90/180 Days)	Sight LC (DP - Document Against Payment)	Financial Bank Guarantee (FBG)	Standby LC (SBLC - ISP98)	Trade Bill Discounting (Clean / Non-LC)	Direct Cash Advance / Wire Transfer
FD Requirements	Cash FD Margin	Cash FD Margin	Cash FD Margin	Cash FD Margin	Haircut / Retainage	cash locked up)
Annual Pricing / Commission	0.50% - 2.00% p.a. LC Commission + Usance Interest	0.50% - 1.50% p.a. Opening Commission	1.00% - 2.50% p.a. Guarantee Commission	1.25% - 2.75% p.a. SBLC Commission	8.50% - 12.50% p.a. Discount Rate	Zero Interest (but forfeits cash interest yield)
Indicative Facility Tenure	90 to 180 Days (Up to 360 days for capital goods)	30 to 90 Days (Transit + Document Exam)	1 to 3 Years (Co-terminus with contract)	1 to 3 Years (Co-terminus with contract)	30 to 120 Days (Usance bill tenure)	Immediate / Spot cash outlay
Governing Statute & Rules	ICC UCP 600, ISBP 745, FEMA 1999, RBI Guidelines	ICC UCP 600, ISBP 745, FEMA 1999, RBI Guidelines	Indian Contract Act 1872 (Sec 126), UDG 758	ICC ISP98 or UCP 600, FEMA 1999	Negotiable Instruments Act 1881, Factoring Act	Indian Contract Act 1872, FEMA Rules
Primary Collater	Hypothecation on	Hypothecation on	Real Estate Second	Real Estate Mortgag	Assignment of Trade	None (Unsecured cash

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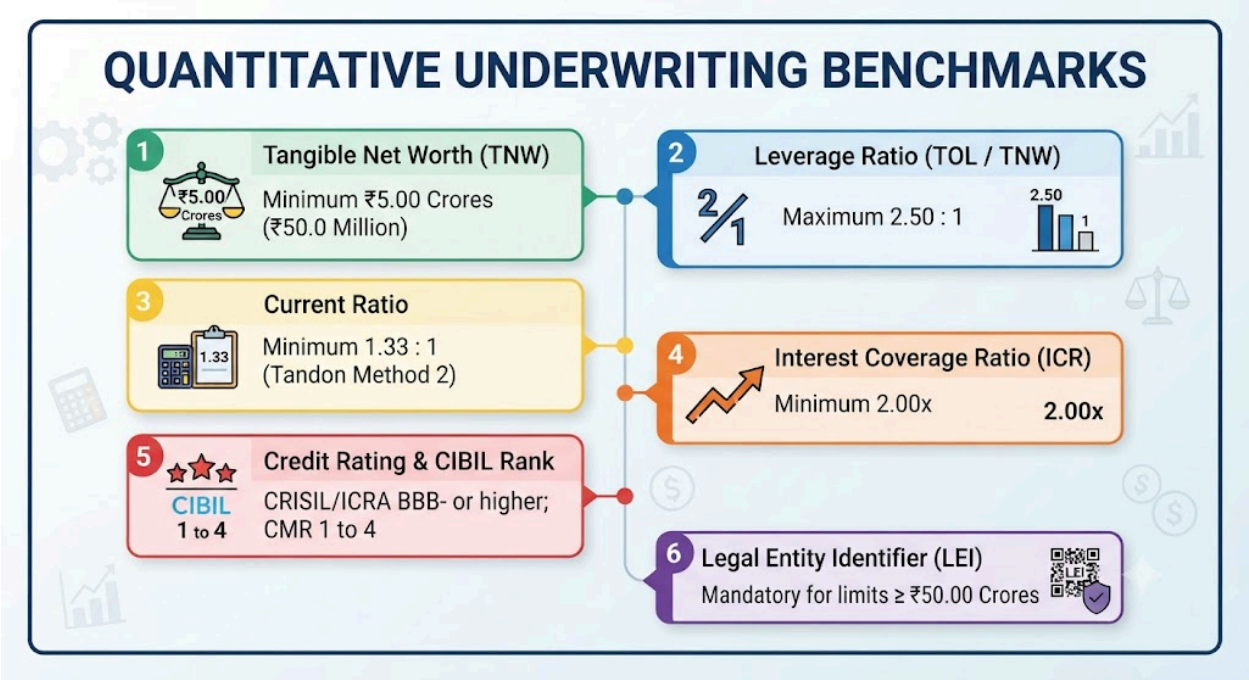
Parameter	Irrevocable Usance LC (DA 90/180 Days)	Sight LC (DP - Document Against Payment)	Financial Bank Guarantee (FBG)	Standby LC (SBLC - ISP98)	Trade Bill Discounting (Clean / Non-LC)	Direct Cash Advance / Wire Transfer
al Security	Goods/Inventory + Title Docs (BL)	Goods/Inventory + Title Docs (BL)	Mortgage + FD Margin Lien	e + Cash FD Margin Lien	Debtors / Accepted Bills	exposure to supplier)
Default & Invocation Mechanics	Forced Demand Loan crystallization on usance due date	Immediate draft dishonor / goods seizure by carrier	Beneficiary written demand triggers 24-hr bank payout	Beneficiary default certificate triggers SBLC draw	Recourse to drawer if drawee dishonors bill	Supplier bankruptcy results in 100% cash loss
Balance Sheet Impact	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability	On-Balance Sheet Current Debt / Receivables Discount	Direct Reduction in Cash Reserves

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Module 4: Common Eligibility Criteria & Dual-Track Underwriting Scorecards

Lending institutions underwrite Non-Fund Based Letter of Credit lines by evaluating both the corporate applicant's operational capacity and the beneficiary's commercial standing.

4.1 Borrower Financial & Quantitative Criteria



1. **Tangible Net Worth (TNW):** Minimum TNW of **₹5.00 Crores** for middle-market corporate LC lines; **₹25.00+ Crores** for large corporate multi-banking facilities.
2. **Leverage Ratio (TOL / TNW):** Total Outside Liabilities to Tangible Net Worth must not exceed **2.50:1** for manufacturing corporates (**3.00:1** for trading entities).
3. **Current Ratio:** Minimum Current Ratio of **1.33:1** calculated under the Tandon Committee Second Method of Working Capital Assessment, proving adequate net working capital buffer.
4. **Interest Coverage Ratio (ICR):** Minimum ICR of **2.00x** ($ ext{EBITDA} / ext{Interest Cost}$), ensuring robust earnings to service both fund-based and non-fund-based interest outlays.
5. **CIBIL Commercial Rank & External Credit Rating:**
   - CIBIL Commercial Rank (**CMR**) between **CMR 1 and CMR 4** (indicating low default probability).

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- External Credit Rating of **CRISIL / ICRA / CARE BBB- or higher** (Investment Grade) for sanctioned NFB limits exceeding ₹10.00 Crores.

6. **Legal Entity Identifier (LEI):** Mandatory 20-digit LEI code registration on the RBI CCIL portal for all corporate borrowers enjoying aggregate credit exposure (fund-based + NFB) of **₹50.00 Crores and above**.

4.2 Qualitative & Operational Scorecard

- **Promoter Vintage & Track Record:** Minimum 3 to 5 years of successful operational history in the core line of business.
- **Supplier Concentration Risk:** No single beneficiary/supplier should account for more than 40% of the applicant's annual raw material purchases, preventing supply chain single-point-of-failure risks.
- **Audited Financial Statements:** Clean Auditor's Report under CARO 2020 without qualified opinions, adverse remarks, or revenue recognition disclaimers for the preceding three financial years.

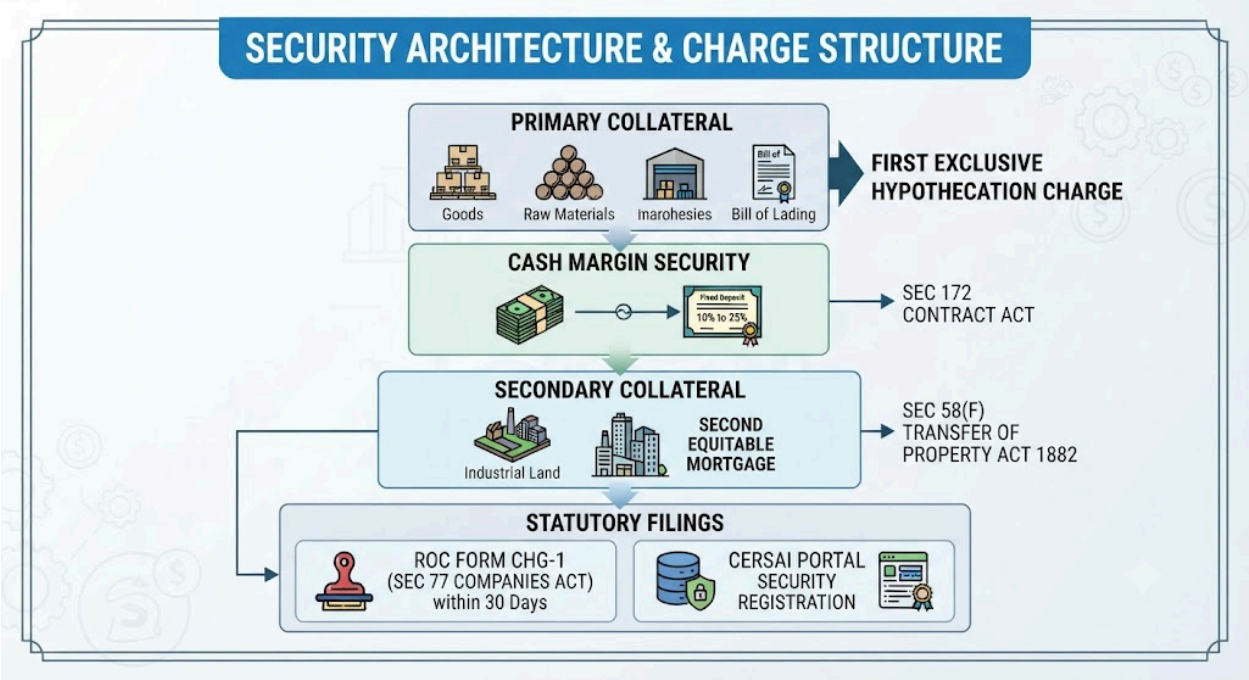
4.3 Beneficiary & Country Risk Assessment (Import LCs)

For cross-border import LCs, the issuing bank evaluates the beneficiary and the origin country: * **OECD Country Risk Classification:** Countries categorized in Tiers 0 to 3 require standard NFB underwriting. Tiers 4 to 7 require additional confirmation or political risk insurance. * **ECGC Caution List & Country Rating:** Verification that the seller and origin country are not flagged on the Export Credit Guarantee Corporation (ECGC) Restricted Cover Country list or RBI Caution List. * **FEMA & Sanctions Compliance:** Automated screening against OFAC, UN Security Council, EU, and RBI AML/CFT sanction lists.

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Module 5: Security Architecture, Documentation & Legal Covenants

Lenders secure Non-Fund Based Letter of Credit facilities by combining primary title security over goods with secondary real estate mortgages, cash margin pledges, and statutory charge filings.



5.1 Primary Collateral & Title Security

1. **Hypothecation of Goods & Inventory:** First exclusive charge over all raw materials, components, goods-in-transit, and finished inventory procured utilizing the LC facility.
2. **Title Documents (Bill of Lading / Railway Receipt):** Transport documents must be issued or endorsed “To Order of Issuing Bank”, providing the bank with constructive legal possession of the underlying cargo until the buyer retires the usance bill.
3. **Marine & Transit Insurance Policy:** Full All-Risk Cargo Insurance (110% of CIF Contract Value) featuring the **Bank Loss Payee Clause** naming the issuing bank as first loss payee.

5.2 Secondary Collateral & Credit Enhancement

1. **Cash Fixed Deposit (FD) Margin:** A pledged FD lien of **10% to 25%** of the LC sanction amount, held under bank lien pursuant to Section 172 of the Indian Contract Act 1872.
2. **Equitable Mortgage on Industrial Real Estate:** Second mortgage charge over factory land, PEB structures, and commercial real estate created via deposit of title deeds under Section 58(f) of the Transfer of Property Act 1882.

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3. **Personal & Corporate Guarantees:** Unconditional personal guarantees of promoter-directors and corporate cross-guarantees of holding/group companies executed under Section 126 of the Indian Contract Act 1872.

5.3 Mandatory Legal Documentation Execution

- **Master Non-Fund Based Credit Facility Agreement:** Establishing overall credit terms, margin maintenance covenants, and default triggers.
- **Deed of Counter-Indemnity:** Executed by the applicant under Section 124 of the Indian Contract Act 1872, binding the applicant to reimburse the issuing bank immediately for all payments, costs, and legal fees incurred under the credit.
- **Demand Promissory Note (DPN) & Agreement:** Executed under Section 4 of the Negotiable Instruments Act 1881 for the full sanctioned LC line amount.
- **Pre-signed Post-Dated Cheques (PDCs) & NACH Auto-Debit Mandate:** PDCs and electronic NACH debit authorization under Section 25 of the Payment and Settlement Systems Act 2007.

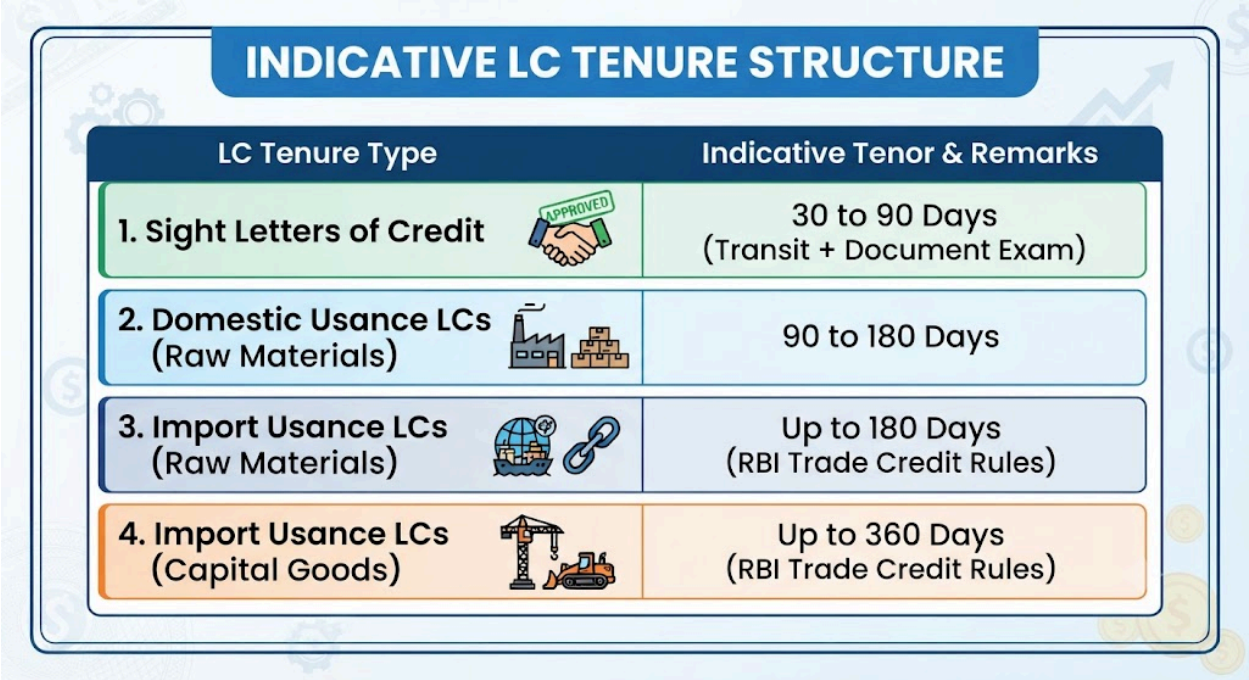
5.4 Statutory Charge Registrations & Central Registry Compliance

1. **ROC Form CHG-1 Registration:** Pursuant to **Section 77 of the Companies Act 2013**, the hypothecation charge over current assets and inventory must be filed with the Registrar of Companies (ROC) via **Form CHG-1 within 30 days** of creation. Failure to register within 30 days invalidates the security charge against the Liquidator and unsecured creditors under Section 77(3) in the event of IBC insolvency.
2. **CERSAI Portal Registration:** Registration of the security charge on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal within 30 days to establish public priority.
3. **NeSL Information Utility Filing:** Mandatory submission of credit facility details to National E-Governance Services Limited (NeSL) to serve as financial debt evidence under Section 7 of the Insolvency and Bankruptcy Code (IBC) 2016.

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Module 6: Indicative Tenures, Commercial Pricing Mechanics & Tax Shields

6.1 Indicative Tenures & Credit Windows



- **Sight LCs:** Operational validity of **30 to 90 days**, allowing sufficient time for shipping, presentation, and 5-day bank examination.
- **Domestic Usance LCs (Raw Materials):** Usance periods ranging from **90 to 180 days** from the invoice or transport document date, matching the buyer's domestic cash conversion cycle.
- **Import Usance LCs (Raw Materials):** Regulated by RBI Trade Credit guidelines, capped at a maximum usance tenure of **180 days** from the shipment date for operating raw materials and consumables.
- **Import Usance LCs (Capital Goods):** Permitted up to a maximum usance tenure of **360 days** (3 years under capital trade credit guidelines) from the shipping date.

6.2 Commercial Pricing Breakdown & Fee Architecture

The total commercial cost of a Non-Fund Based Letter of Credit consists of four distinct fee components:

1. **LC Opening / Issuance Commission:** Charged by the issuing bank for opening the NFB line, ranging from **0.50% to 2.00% p.a. pro-rata** for the validity and usance period (e.g., a

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90-day usance LC opened at 1.00% p.a. incurs an opening fee of $1.00\% times 90/365 = 0.2466\%$ of the bill amount).

2. **SWIFT Transmission & Processing Charges:** Fixed operational charges ranging from **₹1,500 to ₹5,000 per SWIFT MT700 transmission**.
3. **Advising, Confirmation & Amendment Fees:**
   - Advising Fee: **₹2,000 to ₹5,000** charged by the advising bank.
   - Confirmation Commission: **0.50% to 1.50% p.a.** if the seller demands a confirmed LC.
   - Amendment Fees: **₹1,000 to ₹3,000** per SWIFT MT707 amendment message.
4. **Usance Interest Rate (Deferred Credit Interest):** Payable to the supplier or negotiating bank for the usance credit period:
   - *INR Domestic Usance:* Benchmark-linked rate (**EBLR / MCLR + Spread = 7.50% to 9.50% p.a.**).
   - *Foreign Currency Import Usance:* Benchmark-linked rate (**SOFR / EURIBOR + 150 to 250 bps = 5.50% to 7.00% p.a.**).

6.3 Income Tax Shields & GST Input Tax Credit (ITC) Optimizations

Corporate CFOs optimize LC borrowing costs through two statutory tax provisions under Indian tax law:

1. Corporate Income Tax Shield under Section 37(1) & Section 36(1)(iii)

Under the **Income Tax Act 1961**: * LC Opening Commissions and Processing Fees are fully deductible as ordinary business expenses under **Section 37(1)**. * Usance Interest paid on raw material procurement credit is fully deductible as borrowing interest under **Section 36(1)(iii)**.

For a corporate tax applicant operating under the standard corporate tax regime (**25.168% effective tax rate** including applicable surcharge and cess):

$$\text{extEffectivePost}-\text{TaxBorrowingYield}=\text{extPre}-\text{TaxAll}-\text{InNominalCostimes}1-0.25168$$

For example, an all-in pre-tax usance LC credit cost of **8.125% p.a.** translates into an effective post-tax borrowing cost of:

$$extPost - TaxCost = 8.125\% times (1 - 0.25168) = 8.125\% times 0.74832 = 6.080\% extp.a.$$

2. 100% GST Input Tax Credit (ITC) Recovery

Banks charge **18% Goods and Services Tax (GST)** on LC opening commissions, SWIFT fees, and processing charges. Pursuant to **Section 16 of the Central Goods and Services Tax (CGST) Act**

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2017, corporate applicants utilize 100% of this 18% GST as an Input Tax Credit (ITC) against their output GST liabilities, eliminating GST as a net cost.

3. Cash Margin FD Interest Yield Arbitrage

When the issuing bank requires a **15% Cash FD Margin**, the pledged Fixed Deposit earns deposit interest at **6.50% to 7.50% p.a.** This deposit interest income directly offsets the gross LC opening commission outlays, resulting in a favorable net margin yield.

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Module 7: Suitable Sectors, Borrower Profiles & Market Alignment

Letters of Credit under Non-Fund Based facilities serve as essential working capital tools across major industrial verticals in India:



1. **Automotive OEMs & Component Manufacturers:** Tier-1 and Tier-2 component suppliers utilization usance LCs (90 to 180 days) to procure raw alloy steel, aluminum ingots, and specialized electronic control units (ECUs) from global and domestic primary producers.
2. **Iron, Steel & Metals Processing:** Steel rerolling mills and metal fabricators deploy usance LCs to source steel scrap, billets, and hot-rolled/cold-rolled (HR/CR) coils from primary producers such as SAIL, Tata Steel, and JSW Steel.
3. **Electronics & SMT Assembly:** Electronics Manufacturing Services (EMS) companies operating under the Production Linked Incentive (PLI) scheme open import usance LCs to source semiconductor chips, passive components, and display panels from East Asian suppliers.
4. **Pharmaceuticals & Active Pharmaceutical Ingredients (APIs):** Bulk drug manufacturers open 90-day usance LCs to import key starting materials (KSMs) and specialized chemicals for USFDA-compliant sterile formulations.
5. **Capital Goods & Heavy Engineering:** Industrial machinery manufacturers utilize 360-day import usance LCs to procure heavy CNC machining centers, power transformers, and hydraulic turbines.

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6. **Chemicals & Petrochemicals:** Polymer processors and chemical manufacturers utilize 90-to-180 day usance LCs to import bulk crude polymers, solvents, and specialty catalysts.

Market Footprint & Institutional Volume

According to Indian trade finance statistics and RBI banking aggregate reports, Non-Fund Based Letter of Credit lines support over **₹12.50 Lakh Crores ($150 Billion USD)** in domestic trade transactions and cross-border import/export trade annually. Public sector banks (led by State Bank of India and Bank of Baroda) and private sector commercial banks (HDFC Bank, ICICI Bank, Axis Bank) maintain extensive international SWIFT correspondent networks supporting these non-fund-based trade lines.

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Module 8: Key Advantages, Strategic Benefits & Structural Limitations

8.1 Advantages for the Corporate Buyer (Applicant)

- **Zero Initial Fund-Based Outlay:** Enables corporate buyers to establish multi-crore raw material procurement lines without immediately drawing down on fund-based Cash Credit or Working Capital Demand Loans.
- **Preservation of Liquidity & Credit Lines:** Preserves fund-based bank limits for operational payroll, plant maintenance, and emergency capex, optimizing overall capital structure efficiency.
- **UCP 600 Compliance Protection:** Insulates buyers against supplier non-performance. Payment is executed only if the seller submits shipping documents that strictly comply with LC terms (correct quantities, shipping dates, certificates of origin, quality inspection reports).
- **Built-In Usance Credit Period:** Provides a 90-to-180 day credit window to process raw materials into finished inventory and collect trade receivables before the LC bill matures.
- **Enhanced Commercial Standing:** Leverages the issuing bank's prime credit standing, enabling mid-market corporate buyers to negotiate volume discounts and favorable pricing with Tier-1 global suppliers.

8.2 Advantages for the Seller (Beneficiary)

- **Elimination of Buyer Commercial Credit Risk:** Replaces the commercial default risk of an unfamiliar or overseas buyer with the firm, irrevocable payment guarantee of a regulated commercial bank.
- **Immediate Post-Shipment Discounting Liquidity:** Allows the seller to obtain immediate cash liquidity upon presenting compliant shipping documents by discounting the accepted usance bill with its negotiating bank (LC Bill Discounting).
- **Mitigation of Order Cancellation Risk:** Prevents the buyer from unilaterally canceling or modifying the purchase order once the irrevocable LC is issued.

8.3 Structural Limitations & Operational Risks

- **Strict Document Scrutiny & Discrepancy Risk:** Under UCP 600 Article 14, even minor clerical discrepancies between shipping documents and LC terms entitle the issuing bank to reject the presentation, exposing the seller to payment delays or re-negotiation.
- **Inability to Inspect Physical Goods Prior to Payment:** Under **UCP 600 Article 5**, banks deal with documents and not with goods, services, or performance to which the

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documents may relate. An issuing bank must pay against compliant documents even if the buyer claims the delivered goods in the container are non-conforming, unless an interim court injunction is obtained under the narrow Egregious Fraud exception.

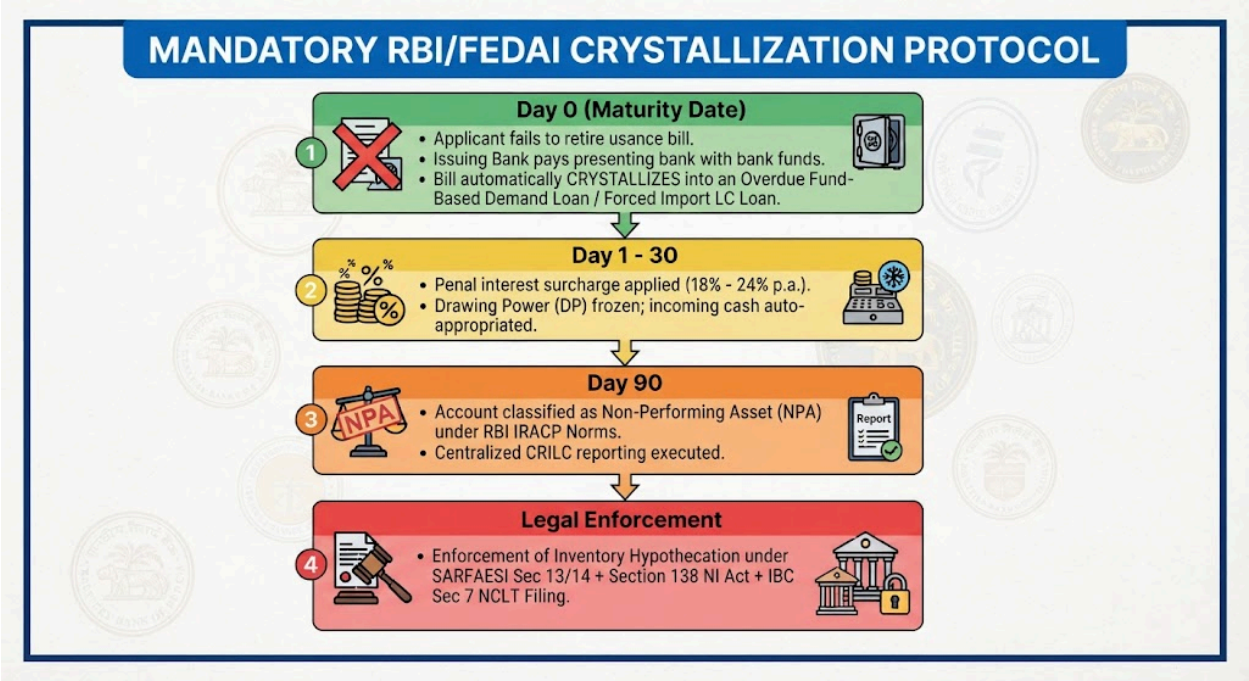
- **Foreign Currency Exchange Exposure:** Import usance LCs denominated in USD, EUR, or JPY expose the buyer to currency depreciation risk over the 90-to-180 day usance window, requiring hedging via forward contracts or currency options.
- **Strict Crystallization & Default Surcharges:** Failure to retire usance bills on the due date triggers automatic crystallization into an overdue demand loan with severe penal interest rates (18% to 24% p.a.).

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Module 9: Default Crystallization Framework, RBI IRACP Norms & Legal Remedies

9.1 The Overdue Usance Bill Crystallization Protocol

When an accepted usance LC bill reaches its maturity date (e.g., Day 90 or Day 180), the corporate applicant is legally obligated to deposit funds to retire the bill. If the applicant fails to provide funds, the issuing bank must fulfill its irrevocable legal commitment to the beneficiary/presenting bank by disbursing its own funds.



Pursuant to **FEDAI Rules** and **RBI Master Directions**: 1. **Automatic Crystallization:** On the usance due date, the un-retired LC bill is automatically converted (crystallized) into an **Overdue Fund-Based Import/Domestic LC Demand Loan** in the applicant's name. 2. **Exchange Rate Application (Import LCs):** Foreign currency usance bills are converted into Indian Rupees at the prevailing **FEDAI TT Selling Rate** on the crystallization date. 3. **Penal Interest Application:** The forced demand loan accrues high-cost penal interest ranging from **18.00% to 24.00% p.a.** calculated from the payment date until full recovery.

9.2 Asset Classification & RBI IRACP Norms

- **90-Day NPA Classification:** If the crystallized demand loan remains unpaid for more than **90 days**, the applicant's entire credit facility (fund-based and non-fund based) is classified as a **Non-Performing Asset (NPA)** across the bank and reported to the Central Repository of Information on Large Credits (CRILC).

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- **Provisioning Requirements:** The bank must create mandatory provisioning under RBI Income Recognition, Asset Classification and Provisioning (IRACP) norms: 15% for Substandard assets; 25% to 40% for Doubtful assets; 100% for Loss assets.

9.3 Statutory Recovery & Legal Remedies

When an LC crystallization default occurs, the issuing bank deploys a four-tiered statutory recovery process:

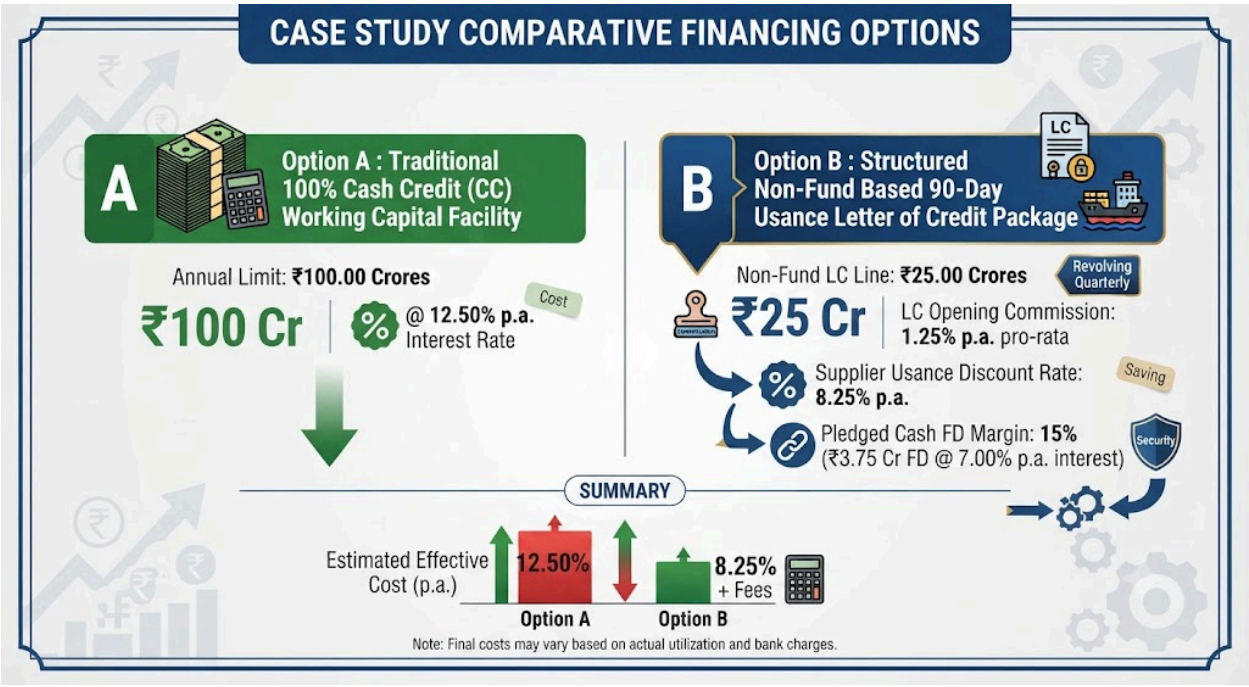
1. **Enforcement of Current Asset Hypothecation (SARFAESI Act 2002):** Issuing a 60-day demand notice under **Section 13(2) of the SARFAESI Act 2002**, followed by physical possession and sale of hypothecated raw materials and inventory under **Section 13(4) / Section 14** via District Magistrate assistance.
2. **Summary Suit under Order 37 CPC:** Filing a summary commercial suit in the High Court or Commercial District Court based on the Master LC Agreement, DPN, and Counter-Indemnity Deed.
3. **Dishonored Cheque / NACH Prosecution:** Filing criminal complaints under **Section 138 of the Negotiable Instruments Act 1881** or **Section 25 of the Payment and Settlement Systems Act 2007** for pre-signed PDCs or auto-debit mandates returned for insufficient funds.
4. **Insolvency Proceedings under IBC 2016:** Initiating Corporate Insolvency Resolution Process (CIRP) before the National Company Law Tribunal (NCLT) under **Section 7 of the Insolvency and Bankruptcy Code (IBC) 2016** for financial debt default exceeding ₹1.00 Crore.

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Module 10: Comprehensive Real-World Case Study (Indian Rupee Models)

10.1 Corporate & Transaction Profile

- **Borrower Entity:** *Mumbai Auto-Components & Engineering Pvt. Ltd. (MACEPL)*
- **Manufacturing Location:** Chakan Industrial Area Phase II, Pune, Maharashtra
- **Industry Sector:** Automotive OEM Component Manufacturing & Heavy Forging
- **Annual Procurement Scale: ₹100.00 Crores** of high-grade alloy steel coils and forged billets per annum (procured in four equal quarterly tranches of **₹25.00 Crores** each).
- **Operating Cash Conversion Cycle:** 90 Days (from raw material receipt to finished component delivery and OEM receivable collection).



10.2 Comparative Financial Modeling & Quantitative Analysis

Option A: Direct Cash Purchase Funded via 100% Fund-Based Cash Credit (CC) Line

Under Option A, MACEPL draws down ₹25.00 Crores every quarter from its fund-based Cash Credit line to pay suppliers cash-on-delivery. Because the inventory and receivables cycle requires 90 days, MACEPL maintains a continuous average CC utilization of **₹100.00 Crores** across the year.

1. **Annual Nominal Pre-Tax Interest Outflow:**

$$extAnnualCCInterestOutflow = ext₹100.00Croresimes12.50\% = ₹12.500extCrores/year$$

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2. **Annual Post-Tax Interest Outflow (Section 36(1)(iii) @ 25.168% Tax Rate):**

extNetPost−TaxDebtCost=ext₹12.500Croresimes1−0.25168=₹9.354extCrores/year

3. **Working Capital Cash Lockup:** MACEPL locks up **₹100.00 Crores** of fund-based credit limits, leaving zero cushion for business expansion or emergency working capital.

Option B: Structured Non-Fund Based 90-Day Usance Letter of Credit Facility

Under Option B, MACEPL establishes an unencumbered **₹25.00 Crore Revolving Non-Fund Based Usance LC Line**. Every quarter, MACEPL opens a 90-day Usance LC for ₹25.00 Crores in favor of the steel supplier.

1. **Annual LC Opening Commission Outlay (1.25% p.a.):**

extGrossLCCommission=ext₹100.00CroresAnnualVolumeimes1.25%imesrac90365=₹0.308extCrores/year

2. **Annual Supplier Usance Credit Interest (8.25% p.a.):**

extUsanceInterestOutflow=ext₹100.00CroresAnnualVolumeimes8.25%imesrac90365=₹2.034extCrores/year

3. **SWIFT Transmission & Document Processing Fees:**

$$ ext{SWIFT & Handling Fees} = 4 ext{ Quarterly Transmissions} imes ext{₹50,000} = \mathbf{₹0.002 ext{ Crores / year}}$$

4. **Less: Interest Earned on Pledged 15% Cash FD Margin (₹3.75 Cr FD @ 7.00% p.a.):**

$$extFDInterestIncome = ext₹3.75Croresimes7.00\% = ₹0.2625extCrores/year$$

5. **Net Pre-Tax Financing Outflow under Option B:**

extNetPre−TaxCost=ext₹0.308Cr+ext₹2.034Cr+ext₹0.002Cr−ext₹0.2625Cr=₹2.0815extCrores/year

6. **Annual Pre-Tax Cost Reduction vs Option A:**

extPre−TaxSavings=ext₹12.500Crores−ext₹2.0815Crores=+₹10.4185extCrores/year

7. **Net Post-Tax Financing Cost under Option B (Section 37(1) & 36(1)(iii) @ 25.168% Tax Rate):**

extNetPost−TaxDebtCost=ext₹2.0815Croresimes1−0.25168=₹1.5576extCrores/year

extEffectivePost−TaxBorrowingYield=2.0815%imes1−0.25168=1.558%extp.a.vs9.354%inOptionA

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10.3 Strategic Liquidity Preservation & Opportunity Yield Surplus

1. Preservation of Corporate Cash Credit Capacity

By shifting ₹100.00 Crores of raw material financing from fund-based Cash Credit to a revolving Non-Fund Based Usance LC line, MACEPL requires only **₹15.00 Crores** of total margin cash lockup (₹3.75 Cr FD margin + ₹11.25 Cr working capital buffer). This unencumbers **₹85.00 Crores** of liquid fund-based Cash Credit capacity.

2. Reinvestment ROCE Operating Yield

MACEPL deploys the preserved **₹85.00 Crores** of liquid credit capacity into expanding its CNC machining plant and executing high-margin export orders, earning a **Return on Capital Employed (ROCE) of 18.00% p.a.**:

$$\text{extAnnualReinvestmentOperatingEBITDA} = \text{ext₹85.00Croresimes18.00\%} = ₹15.300\text{extCrores/year}$$

$$\text{extNetPost}-\text{TaxReinvestmentIncome} = \text{ext₹15.300Croresimes1}-0.25168 = +₹11.450\text{extCrores/year}$$

3. Total Financial Wealth Surplus Calculation (5-Year Horizon)

Financial Metric	Option A (100% Cash Credit)	Option B (Revolving Usance LC Line)	Variance / Surplus Unlocked
Annual Pre-Tax Outflow	₹12.500 Crores	₹2.0815 Crores	**+₹10.4185 Crores / year (Savings)**
Annual Post-Tax Outflow	₹9.354 Crores	₹1.5576 Crores	**+₹7.7964 Crores / year (Savings)**
Effective Post-Tax Yield	9.354% p.a.	1.558% p.a.	**-7.796% p.a. (Cost Reduction)**
Preserved Credit Capacity	INR 0.00	₹85.00 Crores	**+₹85.00 Crores (Liquid Capital)**
Post-Tax Reinvestment ROCE Income	INR 0.00	+₹11.450 Crores / year	**+₹11.450 Crores / year (Income)**
Interest Coverage Ratio (ICR)	3.20x	4.92x	**+1.72x (CRISIL Upgrade to A-)**
Total Annual Net Surplus	Base Case	+₹19.2464 Crores / year	**+₹19.2464 Crores / year**

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Financial Metric	Option A (100% Cash Credit)	Option B (Revolving Usance LC Line)	Variance / Surplus Unlocked
5-Year Cumulative Wealth Surplus	Base Case	+₹96.232 Crores	**+INR 96.232 CRORES (+962.32 MILLION)**

By implementing Option B (Structured Non-Fund Based Usance Letter of Credit Facility), **MACEPL generated an extraordinary net financial wealth surplus of ₹19.2464 Crores per annum (+₹96.232 Crores over 5 years) over Option A**, preserved ₹85.00 Crores in liquid working capital, expanded its Interest Coverage Ratio from 3.20x to 4.92x (triggering a CRISIL rating upgrade to A-), and slashed its effective post-tax borrowing yield from 9.354% down to **1.558% p.a.**!

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Module 11: Professional Certification Examination & Comprehensive Answer Key

Examination Question Paper (10 Scenario-Based Questions)

Question 1

Under UCP 600 Article 4(a), an issuing bank receives a written notice from the corporate applicant stating that the imported raw material delivered under an irrevocable Sight LC is defective and fails physical quality tests. The presented shipping documents strictly comply on their face with all LC terms. What is the issuing bank's mandatory legal course of action? * (A) The bank must immediately withhold payment to the beneficiary until the buyer inspects the goods. * (B) The bank must reject the documents and return them to the presenting bank. * (C) The bank is legally obligated to execute payment to the beneficiary, as the LC is an independent contract completely severed from the underlying commercial sale contract. * (D) The bank must initiate arbitration under the Indian Arbitration and Conciliation Act 1996.

Question 2

What is the maximum timeframe permitted under UCP 600 Article 14(b) for an issuing bank to examine a document presentation and determine whether or not to honor or reject the presentation? * (A) 3 banking days following the day of presentation. * (B) 5 banking days following the day of presentation. * (C) 7 calendar days from the Bill of Lading date. * (D) 10 business days from document receipt.

Question 3

Under UCP 600 Article 38, what is a primary legal requirement for transferring a Letter of Credit to a second beneficiary? * (A) Any LC can be transferred automatically upon written request by the applicant. * (B) The LC must be expressly designated as "Transferable" by the issuing bank at the time of credit opening. * (C) The transfer must be approved by the Reserve Bank of India (RBI). * (D) The second beneficiary must execute a personal guarantee in favor of the applicant.

Question 4

Under modern international trade banking rules (UCP 600 Article 3), what is the statutory default status of a Letter of Credit if the instrument does not explicitly state whether it is revocable or irrevocable? * (A) It is deemed to be revocable. * (B) It is deemed to be irrevocable. * (C) It is deemed to be invalid and unenforceable. * (D) It is converted into a Standby Letter of Credit.

Question 5

Pursuant to Section 77 of the Companies Act 2013, within what maximum statutory timeframe must a corporate borrower register the hypothecation charge over current assets and inventory

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created under an LC credit facility with the Registrar of Companies (ROC) via Form CHG-1? * (A) 15 days from charge creation. * (B) 30 days from charge creation. * (C) 60 days from LC expiration. * (D) 90 days from default occurrence.

Question 6

Under RBI Master Directions on Import of Goods and Services, what is the maximum usance credit tenure permitted for an import Letter of Credit financing operating raw materials and consumables? * (A) 90 days from shipping date. * (B) 180 days from shipping date. * (C) 360 days from shipping date. * (D) 3 years from shipping date.

Question 7

In the landmark decision *Svenska Handelsbanken v. Indian Charge Chrome Ltd.*, what narrow legal exception was reaffirmed by the Supreme Court of India as the sole ground for granting an interim court injunction restraining a bank from paying under an LC? * (A) Commercial breach of warranty by the seller. * (B) Minor typographical discrepancies in the Bill of Lading. * (C) Egregious fraud committed by the beneficiary to the knowledge of the bank, going to the root of the credit transaction. * (D) Currency exchange fluctuations in international markets.

Question 8

Calculate the effective post-tax borrowing yield for a corporate applicant subject to an effective corporate tax rate of 25.168% (under Section 115BAA) utilizing a 90-day usance LC with a pre-tax all-in nominal cost (LC commission + usance interest) of 8.00% p.a. * (A) 8.000% p.a. * (B) 5.987% p.a. * (C) 2.013% p.a. * (D) 6.421% p.a.

Question 9

Under mandatory FEDAI rules and RBI guidelines, if a corporate applicant fails to provide funds to retire an accepted usance import LC on its maturity date, what automatic operational procedure must the issuing bank execute? * (A) Cancel the LC and request the carrier to return the goods to the seller. * (B) Automatically crystallize the overdue usance bill on the maturity date into an Overdue Fund-Based Import LC Demand Loan applying the FEDAI TT Selling Rate and penal interest (18%-24% p.a.). * (C) File a criminal complaint with the Central Bureau of Investigation (CBI). * (D) Transfer the debt obligation to the Ministry of Commerce.

Question 10

Under UCP 600 Article 5, what is the fundamental institutional principle governing document examination by banks handling documentary credits? * (A) Banks examine the physical quality, weight, and condition of the shipped cargo at the port of entry. * (B) Banks deal strictly with documents, and not with goods, services, or performance to which the documents may relate. * (C) Banks act as customs inspectors on behalf of the Central Board of Indirect Taxes and

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Customs (CBIC). * (D) Banks guarantee that the seller will fulfill all post-sale maintenance covenants.

Comprehensive Certification Answer Key & Detailed Rationales

Answer 1: (C)

Rationale: Under **UCP 600 Article 4(a)** and the Principle of Autonomy, a Letter of Credit is legally independent of the underlying commercial sales contract. Issuing banks deal strictly with compliant documents on their face and cannot withhold payment due to commercial disputes regarding goods quality.

Answer 2: (B)

Rationale: Pursuant to **UCP 600 Article 14(b)**, the issuing bank, confirming bank, and nominated bank each have a maximum of five banking days following the day of presentation to examine documents and determine compliance.

Answer 3: (B)

Rationale: Under **UCP 600 Article 38(b)**, a Letter of Credit can be transferred to a second beneficiary only if it is expressly designated as “Transferable” by the issuing bank at the time of credit issuance.

Answer 4: (B)

Rationale: Under **UCP 600 Article 3**, an LC is irrevocably binding by default, even if the instrument contains no explicit statement regarding its revocability.

Answer 5: (B)

Rationale: Section 77(1) of the Companies Act 2013 requires every company creating a charge on its assets (including hypothecation of current assets/inventory under an LC line) to register the charge particulars with the ROC via Form CHG-1 within 30 days of creation.

Answer 6: (B)

Rationale: Under **RBI Master Directions on Trade Credit** and Import of Goods, the maximum trade credit / usance period permitted for raw materials, components, and consumables is 180 days from the shipping date. (Capital goods are permitted up to 3 years / 360 days).

Answer 7: (C)

Rationale: The Supreme Court of India in *Svenska Handelsbanken* and *Himadri Chemicals* established that courts will not grant injunctions restraining bank guarantee/LC payments except under the narrow exception of **Egregious Fraud** going to the root of the transaction or special equities causing irretrievable injustice.

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Answer 8: (B)

Rationale: $ ext{Post-Tax Yield} = ext{Pre-Tax Cost} imes (1 - ext{Tax Rate}) = 8.00% imes (1 - 0.25168) = 8.00% imes 0.74832 = $

Answer 9: (B)

Rationale: Pursuant to FEDAI Rules and RBI directions, an un-retired usance LC bill is automatically crystallized on its due date into a fund-based overdue import LC demand loan at the prevailing FEDAI TT selling rate, accruing penal interest between 18.00% and 24.00% p.a.

Answer 10: (B)

Rationale: UCP 600 Article 5 establishes the fundamental rule that banks deal strictly with documents and not with goods, services, or performance to which the documents may relate.

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